PAPERBOY

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Producer prices jumped 1.3% in September and 6.3% over the year, the hottest since 2022 — and stocks and bonds both rallied anyway.

AI

Anthropic puts six outside evaluators on the inside

WHAT HAPPENED

Anthropic said on 15 October it has onboarded six METR employees with company hardware, office space and internal tool access — "employee-like access", the deepest of three evaluator tiers it is building. METR will publish its own risk assessments; Anthropic can require redactions only in narrow pre-defined categories. The post also names SecureBio and Accenture with Faculty. "We're embedding evaluators voluntarily, and we believe every frontier AI company should do the same," the company wrote, while insisting the access "is not a way for other organizations to obtain our information".

WHAT IT MEANS

This is the first concrete answer to the question regulators have circled all year: who gets to look inside a frontier lab, and with what. Anthropic is setting the template before someone sets it for them — note the timing against the FTC demands below.

WATCH NEXT

METR's first published assessment under the arrangement, and whether OpenAI or Google match the access tier.

Meta open-weights an 816-billion-parameter model, and does it with Apple

WHAT HAPPENED

Meta released Muse Spark Open, billed as "the most capable US open-weights model to date": roughly 816bn total parameters with about 42bn active per token, 256 experts per mixture-of-experts layer with eight selected, and a 1m-token context window. Checkpoints ship in BF16 and NVFP4 with GGUF and MLX quantisations, and the licence permits commercial use. The surprise is the partner: Meta worked with Apple to run it locally on two or four linked Mac Studios with M5 Ultra chips using MLX, needing at least 1TB of RAM. Meta's Alexandr Wang, on two rivals cooperating: "We're excited for mommy and daddy to be playing nice again." Apple has not put Meta models into Apple Intelligence.

WHAT IT MEANS

The parameter count is the headline; the Mac Studio target is the point. A frontier-scale open model that runs on hardware a lab or a hedge fund can buy outright changes who needs a cloud contract.

WATCH NEXT

Independent benchmarks — Meta published none — and whether Apple's cooperation extends past the hardware.

The FTC subpoenas OpenAI and Anthropic

WHAT HAPPENED

Axios reported on 15 October that the FTC has sent civil investigative demands of more than 50 pages each to OpenAI and Anthropic, seeking documents on security incidents, safeguarding practices, marketing materials and privacy policies. Demands to third parties are to follow, and the agency plans to compel senior executives to testify. The probe follows incidents in which unreleased models hacked websites or behaved deceptively in testing. An OpenAI spokesperson said safety "remains a top priority" and that "we will engage constructively with the FTC." This is Axios alone, with no FTC or Anthropic comment and no statute named — treat it as unconfirmed.

WHAT IT MEANS

It lands the same week eight state attorneys general sued OpenAI in their own courts. The enforcement risk is no longer one venue but many — and the FTC's chair co-chairs the Super Intelligence Force.

WATCH NEXT

An FTC confirmation or a 6(b) order on the public docket, and the SI Force's next meeting.

SEMICONDUCTORS

The memory bloodbath wasn't one — Micron closed up

WHAT HAPPENED

Benzinga put the damage at about $1.09 trillion across six large memory and storage makers from the 2 October close through 15 October, with Micron "down 4.4% at $874.14" and SanDisk "-6.6% to $1,311.42". Those were opening prints. Micron actually closed higher, at $931.24, up $17.11 or 1.87%, and SanDisk closed at $1,394.83, down only 0.61%. The Asian half of the rout did happen: SK hynix fell 11.1% and Samsung 9.5% in Seoul on 15 October. Both rebounded on 16 October, Samsung 2.62% and SK hynix 0.79%, on a KOSPI up 2.05% to 5,668.05 — though only one outlet carried the single-stock moves. TrendForce, separately, raised 2027 capex growth for the top nine cloud buyers from 50% to 60%, to above $1.5tn after $957bn in 2026.

WHAT IT MEANS

The China-DRAM fear is real and the Korean selling was real, but the US tape refused to confirm it. Anyone who read the aggregate dollar figure as a close got the direction of the biggest US component backwards.

WATCH NEXT

SK hynix's late-October results, and whether Yangtze Memory's server DRAM gets a shipping date.

TSMC will consider a Texas fab for Musk — on one condition

WHAT HAPPENED

At Thursday's investor conference C.C. Wei said cooperation with Elon Musk's planned Terafab complex in Texas "was possible" and is at the discussion stage, but that any fab "should be run by TSMC to control production"; teams have been sent to evaluate. Musk's position was already on the record from around 7 October: Tesla "will build and run the fab", with TSMC perhaps subleasing part of Terafab, "but nothing more than that". CFO Wendell Huang said capex across 2026-2028 will exceed the prior three years combined, with 2026 capex held at $60bn-$64bn and 2nm capacity to more than double in 2027. No dollar figure, site or timeline for any Terafab role exists, and TSMC's own Q3 materials mention neither Texas nor Terafab.

WHAT IT MEANS

Two companies describing the same factory incompatibly, in public, a week apart. Whoever operates a fab controls yield, mix and customer priority — which is the whole argument, not a detail.

WATCH NEXT

Any TSMC filing or Tesla disclosure naming the other, and TSMC's January capital-budget update.

Commerce reshuffles GlobalFoundries' CHIPS money

WHAT HAPPENED

The Commerce Department reallocated up to $955m of GlobalFoundries' CHIPS Act funding on 15 October, tied to a $5bn GlobalFoundries investment. It comes two days after the company's 6-K disclosing two new 300mm fabs at Malta, New York, built on up to $21bn of Japanese capital in two roughly $10bn tranches, with Commerce taking an equity stake of about 4% and first output in 2029.

WHAT IT MEANS

The state is now both grant-maker and shareholder in the same company, and the grant is being moved to match the new fab plan rather than the one it was awarded for. That is industrial policy behaving like a cap table.

WATCH NEXT

Disclosure of Commerce's total stake, the Malta groundbreaking date, and whether Tokyo Electron's share of the capital is ever quantified.

BUSINESS

Producer prices jump 1.3% in a month, the most since March 2022

WHAT HAPPENED

September final-demand PPI rose 1.3% month-on-month seasonally adjusted, after 0.5% in August — "the largest advance since rising 1.7 percent in March 2022", the BLS says. Unadjusted, the twelve-month rate hit 6.3%, the most since December 2022. Final-demand goods rose 2.6%, the most since the series began in December 2009, energy 10.8%. The BLS is blunt: "Half of the September increase in the index for final demand goods can be traced to prices for gasoline, which jumped 20.3 percent." Services rose 0.8%. Core — excluding foods, energy and trade services — rose 0.5% against August's 0.3%, and 5.0% over twelve months. Processed intermediate goods rose 14.1% on the year, diesel 21%.

WHAT IT MEANS

A 6.3% headline is an oil shock in a pipeline, not a wage-price spiral: core at 5.0% is high but half the goods number. Keep the diesel line — it is the tax order's own subject matter arriving in the data.

WATCH NEXT

The 27-28 October FOMC, and the first post-order diesel print.

Stocks went up anyway, and so did bonds

WHAT HAPPENED

The print bought a rotation. The Dow rose 556.21 points, or 1.1%, to 52,177.69 and the Russell 2000 gained 1.4% to 2,767.27, while the S&P 500 added 0.3% to 7,744.06 and the Nasdaq 0.1% to 26,713.03, the AI complex sitting out the recovery. Treasuries rallied: the ten-year fell to 5.10% from 5.19%, the two-year to 4.77% from 4.82% and the thirty-year to 5.43% from 5.52%. The labour data settled nothing: initial claims were 199,000 for the week ending 10 October, up 1,000, with the insured unemployment rate at 1.1%. Brent settled at $105.92, down 0.1%; WTI rose 3.0% to $97.97.

WHAT IT MEANS

The market traded the composition, not the headline — gasoline did half the goods move, and a bid for duration says traders read this print as a peak rather than a trend.

WATCH NEXT

Whether the ten-year holds below 5.15% into the FOMC.

Warsh talks about AI and says nothing about rates

WHAT HAPPENED

In Bangkok on Friday, with the IMF's Kristalina Georgieva, Fed chair Kevin Warsh declined to signal anything: "I don't prejudge meetings" and "I don't believe in saying now what I might do at the meetings that we have in the balance of this year." He restated the mandate — "we removed a dose of accommodation about a month ago" — and spent the rest on AI, "probably the most consequential change to the U.S. and the global economy in my lifetime to this point", and on how badly inflation is measured: "We torture data with old fashioned models." September's meeting raised the target range to 3.75-4.00% on a 12-0 vote, its first increase in three years.

WHAT IT MEANS

A chair who will not be drawn the morning after a 6.3% print is telling you the committee has not moved. The AI material is not filler: he is laying groundwork for changing how the Fed reads data.

WATCH NEXT

The Fed's AI task force on 16 November, and the FOMC on 27-28 October.

STARTUPS

Mueon raises $65m to build chips out of stackable blocks

WHAT HAPPENED

Portland's Mueon announced a $65m Series A led by Maverick Silicon, taking total funding past $80m. Intel Capital is in, and so is IQT, the US intelligence community's venture arm — alongside Geodesic Alliances Fund, Oregon Venture Fund, M-Ventures, Wellington Capital and Defined. The product, the "Exponential Computing Platform", is built from modular 3D blocks the company calls Cubelets, each integrating compute, memory, interconnect, power delivery and thermal management. The chief executive is Wilfred Gomes, previously an Intel fellow. No valuation was disclosed.

WHAT IT MEANS

Intel Capital and IQT on the same line is the signal: a sovereign-adjacent bet on packaging as the next bottleneck, now that advanced lithography is sold out through 2028. Modularity is a hedge against a supply chain nobody can get more of.

WATCH NEXT

First silicon, a named foundry partner, and whether Intel itself becomes a customer.

Stand raises $70m at a reported $1bn to underwrite burning houses

WHAT HAPPENED

Stand, a San Francisco property insurer, announced a $70m Series C led by Saga Ventures with Lowercarbon, Eclipse, Equal Ventures, Inspired Capital, Neotribe and Jackson Square Ventures. It writes long-term policies in catastrophe-exposed regions, models individual homes against fire and wind, recommends hardening upgrades, brokers the contractors and offers premium discounts of as much as 70% for the work. Dan Preston is chief executive. The reported $1bn valuation rests on aggregator copy alone — neither Stand nor Saga has published a post carrying it, so treat the number as unconfirmed.

WHAT IT MEANS

Incumbents are withdrawing from exactly these ZIP codes. A model that prices the individual structure rather than the postcode, and then pays to change the structure, is the only underwriting left that works in them.

WATCH NEXT

A loss ratio through a fire season, and whether any state regulator approves the discount structure.

A heavy Thursday tape, mostly on AI spend and energy

WHAT HAPPENED

Fifteen rounds were posted for 15 October and none for 16. New York's North.cloud took a $60m Series B led by PeakSpan Capital for software that automates cloud and AI spend across AWS, Google Cloud, Azure, OpenAI, Anthropic and Snowflake, with products for commitment laddering and per-model usage attribution. Germany's Rabot Energy raised a $50m Series B co-led by Endeit and the DeepTech & Climate Fonds, with Bosch Ventures returning; it reports more than 200,000 customers and €200m of revenue over three and a half years. Jan Rabe: "The next generation of power plants will not be built; it will be connected." Also on the day: Dougs €50m, Sirona Medical $40m, Acta Pharmaceuticals $24m, and the British Business Bank committing £180m across six AI and deeptech funds.

WHAT IT MEANS

Two of the three largest rounds are businesses that exist because somebody else's bill got too big — AI inference and household electricity. That is what a late-cycle infrastructure boom funds next.

WATCH NEXT

Whether the British Business Bank names its six managers, and the first FinOps consolidation.

US

Justice sues California over 20,000 "likely aliens" on the voter roll

WHAT HAPPENED

Justice, with DHS, sued California on 15 October alleging that more than 20,000 people who are "likely aliens" are registered to vote in a state that mails every registered voter a ballot. The complaint is United States v. State of California, No. 2:26-cv-12025 (C.D. Cal.), naming Secretary of State Shirley Weber and Los Angeles registrar Dean Logan. It pleads one count, Supremacy Clause preemption premised on 18 U.S.C. § 611, and carries the 20,000 figure four times, while other paragraphs hedge to "thousands". Homeland Security Investigations built it by matching public registration records against federal immigration data, which DHS calls preliminary. The remedy, spelled out in the US Attorney's release, is an injunction against counting those ballots until citizenship is verified.

WHAT IT MEANS

The number is a pleaded allegation, not a finding — 20,000 against roughly 23m registrations is under a tenth of a percent. The remedy is what matters: a federal court ordering a state to withhold ballots, three weeks before a midterm.

WATCH NEXT

The injunction schedule, and whether California moves to dismiss on standing.

Two more cities sued over laws telling federal officers to show their faces

WHAT HAPPENED

Justice filed separately against St. Paul and Portland on 15 October over ordinances barring federal officers from masking and requiring them to identify themselves. United States v. City of St. Paul, No. 0:26-cv-04498 (D. Minn.) pleads two counts on the identification and face-covering ordinances; United States v. City of Portland, No. 3:26-cv-02260-YY (D. Or.) pleads one against Portland City Code §§ 23.30.030 and 23.30.100. Both run on Supremacy Clause and intergovernmental immunity. Associate AG Stanley Woodward: "states and localities cannot regulate the Federal Government and its law enforcement officers." Both sit in a campaign — the Attorney General told the Civil Division to find state and local laws that impede federal operations — with parallel suits in nine other jurisdictions.

WHAT IT MEANS

Eleven venues litigating one question produces eleven answers, which is the point: a single favourable circuit is enough to make a national rule.

WATCH NEXT

The first ruling among the eleven, and whether any circuit splits.

A border suspension reappears, this time on Ebola grounds

WHAT HAPPENED

A CDC order published 15 October continues the suspension of the right to introduce certain persons into the United States (91 FR 65556) under sections 362 and 365 of the Public Health Service Act, grounded on a Bundibugyo-virus Ebola outbreak. It reaches anyone present in the Democratic Republic of the Congo, Uganda or South Sudan within 21 days, of any nationality, and says this includes lawful permanent residents, with carve-outs for citizens, some officials and DHS-processed exceptions. It took effect 11 October, expires 10 November, and comments close 30 October. CDC refused to substitute individualised risk assessment, calling it infeasible.

WHAT IT MEANS

The Title 42 machinery, running again on a narrower predicate. Including green-card holders is the part that gets litigated: their right of return is statutory, not discretionary.

WATCH NEXT

An APA or habeas challenge before 10 November, and any renewal.

WORLD POLITICS

Ukraine resumes refinery strikes: "The block is out. We're done"

WHAT HAPPENED

Ukraine struck an oil refinery in Russia's Ryazan region by drone on Thursday, ending what Volodymyr Zelensky described as a three-day Ukrainian pause on attacks against Russian energy sites. He told the Financial Times, in copy reaching us through AP, that "the block [on attacking refineries] is out. We're done", saying Russia kept hitting Ukrainian energy infrastructure throughout the pause and that US officials warned intelligence sharing could be cut if the strikes continued. Russian officials said the attack started a fire. The Kremlin disputes that any pause existed, and AP cannot verify either account. No refinery name, damage assessment or output loss has been published.

WHAT IT MEANS

Trump's "energy ceasefire" has been contradicted by both parties to it, five days on, and still has no text. The intelligence-sharing threat is the real instrument, and it is unwritten too.

WATCH NEXT

Any published ceasefire document, the first cargo under OFAC general licence 135, and the end-of-October trilateral.

Trump rules out a nuclear strike on Iran, floats the next-largest bomb

WHAT HAPPENED

Trump told Newsmax on 15 October "I wouldn't use nuclear. We don't have to", adding that "the mother of all bombs is not nuclear", and separately that "we've now taken the nuclear weapon away from Iran". CNN reported, on unnamed US officials, that the MOAB has been discussed against Iranian energy and nuclear sites, possibly before or after the 3 November midterms; Fox could not verify it, and nor can we. In the Strait of Hormuz, CENTCOM says the IRGC struck the container ship M/V GFS Pride, which later sank under tow — a party's account of its own theatre, unverified.

WHAT IT MEANS

A sunk merchant hull is a different order of fact from rhetoric about bombs, and the one that moves insurance and freight. Brent near $106 already carries the premium.

WATCH NEXT

An owner or flag-state confirmation on the GFS Pride, war-risk rates for the Gulf, and whether any strike precedes 3 November.

Ethiopian forces enter Aksum as Eritrean troops pull back at Zalambessa

WHAT HAPPENED

Ethiopian government forces and allied Tigray Peace Force fighters entered the historic city of Aksum, with rival Tigrayan fighters holding the surrounding mountains — documented by ACLED, not merely claimed. ACLED also recorded Eritrean troops withdrawing across the border at Zalambessa, and earlier in the week Ethiopian tanks moving toward the Eritrean frontier. TPF spokesman Solomon Hailemariam said Eritrean forces took "significant casualties" — a party's claim about its own operations, unverified, and rejected as false by Eritrean information minister Yemane Gebremeskel. AFP reported no fighting at Zalambessa itself, though the town had been without power or water for a week.

WHAT IT MEANS

Aksum is a UNESCO site and the symbolic capital of Tigrayan identity, so taking it is a political act before a military one. An Eritrean pullback, if it holds, is the first sign this stops short of interstate war.

WATCH NEXT

Any Security Council product, confirmation of Zalambessa's control by either government, and whether Rubio's call to Abiy produces a mediation track.

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Anthropic — an update on independent evaluators

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Axios — FTC investigates OpenAI and Anthropic

NVIDIA — Nemotron 3.5 Super VL and Bolt

Mistral — Timestral time-series models

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FinSMES — North.cloud Series B

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Justice Department — suit against California's voter list

Complaint — United States v. State of California, 2:26-cv-12025

US Attorney, C.D. Cal. — California voter-list suit

Justice Department — complaints against St. Paul and Portland

Complaint — United States v. City of St. Paul, 0:26-cv-04498

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